THE PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT MID TERM JOINT EXAMINATION

FORM ONE
065 BUSINESS STUDIES

Time: 2½ Hours **Monday, 31st August 2026 p.m.**

Instructions

1. This paper consists of three sections A, B, and C with a total of **nine** questions.
2. Answer **all** questions.
3. All answers must be written in the spaces provided.
4. Write your examination number on every page in this question paper.
5. All writing must be in blue/black ink. Diagrams must be drawn in pencil and labeled in ink.
6. Cell phones and calculators are not allowed in the examination room

QUESTION NUMBER	SCORE	INITIALS OF EXAMINER
1		
2		
3		
4		
5		
6		
7		
8		
9		
TOTAL		

SECTION A (15 MARKS)

1. Choose the correct answer from the given alternatives and write its letter in the box provided

(i) Which of the following correctly reflects a proprietorship for of business?

A. Restaurant owned by Baraka
B. A mobile shop owned by Mwamba and his wife
C. A butcher owned by Majid, Akii and Njau
D. A sport kits shop owned by footballers

(ii) Mrs. Koke is a young entrepreneur who has been positive and maintaining high expectations despite of business challenges she faces. Which characteristic of entrepreneurs is possessed by Mrs. Koke?

A. Creativity
B. Optimism
C. Flexibility
D. Innovativeness

(iii) What does unlimited liability in sole proprietorship mean?

A. The business can operate and expand without limit
B. The owner can invest money in the business without limit
C. The owner is responsible to register the business without a limit
D. Owner's personal assets are used to pay debts without a limit

(iv) Which of the following is a resource?

A. Advertisement
B. Capital
C. Market
D. Warehouse

(v) Which one among the following is not an input for production?

A. Land
B. Capital
C. Consumer
D. Labour

(vi) Which one among these is not a component of a business studies?

A. Entrepreneurship
B. Accounting
C. Business management
D. Sole proprietorship

(vii) Goods or services that an individual must have in order to survive

A. Needs
B. Wants
C. Scarcity
D. Opportunity cost

(viii) The ability to connect with people and identify opportunities for partnership or collaboration

A. Networking
B. Optimism
C. Autonomy
D. Pasion

(ix) This involves the act of being able to come up with new or improved ideas
A. Innovativeness
B. Creativity
C. Invention
D. Proactiveness

(x) The following are the types of entrepreneurship except
A. Business entrepreneurship
B. Intrapreneurship
C. Political entrepreneurship
D. Social entrepreneurship

Answers

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)

2. Match the items in LIST **A** with their corresponding responses in LIST **B** by writing the correct letters in the box provided.

LIST A	**LIST B**
(i) A desire of human being for goods and services (ii) The problem of having limited resources to meet unlimited wants (iii) Intangible outcomes of human efforts that can satisfy human needs and wants (iv) The inputs used to produce goods and services (v) The loss potential gain from choosing one alternative over another	A. Resources B. Opportunity cost C. Scarcity D. Wants E. Goods F. Services G. Needs

Answers

LIST A	(i)	(ii)	(iii)	(iv)	(v)
LIST B					

SECTION B (40 MARKS)

3. Differentiate the following terms:
(a) Differentiate between the following terms:
(i) Business and Business Studies.

(ii) Entrepreneur and Entrepreneurship

(b) Intrapreneur and Entrepreneur

(c) Producer goods and Consumer goods

(d) Economic goods and Free goods

(e) Durable goods and perishable goods

4. Creation of employment is one among the contributions of entrepreneurship activities in the Tanzania economy. Discuss by five points

(i) _____

(ii) _____

(iii) _____

(iv) _____

(v) _____

5. John has recently completed his secondary education and has saved TZS 1,000,000. He is considering how to use his savings. He has three options
   Option 1: Enrolling in short computer course to improve his skills
   Option 2: Using his money to start small poultry business
   Option 3: Buying a motorcycle to use for transport services
   After careful examination, John decides to invest in poultry business.
   (a) Explain the meaning of opportunity cost

   _____

   _____

   _____

   (b) Based on John's decision, identify his opportunity cost.
   (i) _____
   (ii) _____
   (c) Show the relationship between scarcity and opportunity cost.

   _____

   _____

   _____

   _____

6. Entrepreneurship involves identifying opportunities, taking risks and organizing resources to create value.

   (a) State three roles of an entrepreneur in a business enterprise. (3 marks)

   (i) _____

   _____

   (ii) _____

   _____

   (iii) _____

   _____

   (b) Explain three factors that may motivate an individual to become an entrepreneur.

   (i) _____

   _____

   (ii) _____

   _____

   (iii) _____

   _____

(c) Match each entrepreneurship theory in Column A with its correct description in Column B.

COLUMN A	COLUMN B
(i) Innovation theory (ii) Need for Achievement theory (iii) Risk-bearing theory (iv) Social theory	A. Entrepreneurship is encouraged by the desire to achieve and accomplish goals B. Entrepreneurship develops as people identify and introduce new combinations or innovations. C. Entrepreneurship involves accepting uncertainty and possible business losses D. Entrepreneurship is influenced by social, cultural and environmental factors.

LIST A	(i)	(ii)	(iii)	(iv)
LIST B				

SECTION C (45 MARKS)

7. Business studies play an important role to the community and economy in Tanzania. Justify this statement using six points.

8. Bakhressa is a famous and successful entrepreneur in East Africa. Briefly explain the six characteristics possessed by Bakhressa as an entrepreneur.

9. Asha noticed that students in her community had difficulty obtaining affordable school stationery. She developed an idea of producing simple exercise books locally using available

materials. She invested her savings, accepted the possibility of losing money and later introduced a new design that attracted more customers. Using the information above:

(a) Identify three entrepreneurial qualities demonstrated by Asha and explain how each is shown in the case.

(i) _____

_____

(ii) _____

_____

(iii) _____

_____

(b) Which theory of entrepreneurship is best demonstrated by Asha's introduction of a new exercise-book design? Give a reason for your answer.

_____

_____

(c) Explain three ways in which Asha's entrepreneurial activity can contribute to the development of her community.

(i) _____

_____

_____

(ii) _____

_____

_____

(iii) _____

_____

_____